

CIN: U40106KA2021PLC144691**Reg Office: No. 736, 2nd Floor, Third Block Koramangala, Bangalore - 560034.****Web: integrumenergy.in**

Date	Version / amendments
	Original Adopted

Policy for determining Material Subsidiaries

1. Objective

The objective of this Policy is to determine the Material Subsidiaries of the Company and to provide the governance framework for such subsidiaries, as required under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 [“SEBI Listing Regulations”], covering the following:

- i) meaning of “Material Subsidiary”;
- ii) requirement of Independent Director in certain Unlisted Material Subsidiaries;
- iii) restriction on disposal of shares of a Material Subsidiary;
- iv) restriction on transfer of assets of a Material Subsidiary;
- v) secretarial audit by Material Unlisted Subsidiaries incorporated in India; and
- vi) disclosure requirements as prescribed under the SEBI Listing Regulations.

2. Purpose of this Policy

The Board of Directors (“Board”) of the Company has adopted this policy for determining material subsidiaries (“Policy”) in accordance with the provisions of Regulation 16(1)(c) of the Listing Regulations. The Company shall follow all the compliance requirements relating to material subsidiaries as legally required. This Policy sets out criteria for determining material subsidiaries and provide a governance framework for such subsidiaries.

1. Definitions

- “Act”** means the Companies Act, 2013, and the rules made thereunder (including any statutory modification/re-enactment thereof for the time being in force).
- “Company”** means Integrum Energy Infrastructure Limited.
- “Control”** shall include the right to appoint the majority of the directors or to control the management or policy decisions exercisable by a person or persons acting individually or in concert, directly or indirectly, including by virtue of their shareholding or

management rights or shareholder agreements or voting agreements or in any other manner.

“Material subsidiary” means, unless otherwise expressly defined, a subsidiary whose turnover or net worth (i.e. paid-up share capital and free reserves) exceeds **ten per cent (10%)** of the consolidated income or net worth, respectively, of the Company and its subsidiaries in the immediately preceding accounting year.

“SEBI Listing Regulation” means the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, the circulars issued thereunder and amendments thereto.

“Subsidiary” shall have the same meaning defined under Section 2(87) of the Act.

Any other term not defined herein shall have the same meaning ascribed to it under the Act, the SEBI Listing Regulations or any other relevant law/regulation applicable to the Company.

3. Determination of Material Subsidiary:

A Subsidiary of the Company shall be regarded as a Material Subsidiary if it falls under the definition provided below.

- Whose income or net worth exceeds ten per cent of the consolidated income or net worth of the Company and its subsidiaries in the preceding accounting year, respectively.

Identification of the Material Subsidiary based on thresholds prescribed under the aforementioned Regulation shall be undertaken at the start of every financial year immediately on preparation of Consolidated Financial Statements of the Company for the preceding financial year. Outcome of this exercise shall be placed before the Audit Committee and the Board.

Notwithstanding the quantitative thresholds prescribed under the aforementioned Regulation or any other applicable law, the Board shall have the absolute power and discretion to identify and designate any Subsidiary of the Company as a Material Subsidiary based on any quantitative and qualitative factors including, but not limited to, strategic importance, operational significance, financial impact, as may be deemed fit by the Board.

4. Independent Director on the Board of an Unlisted Material Subsidiary

At least one independent director on the Company's board of directors shall be a director on the board of directors of an Unlisted Material Subsidiary, whether incorporated in India or not.

For this provision, notwithstanding anything to the contrary contained in Regulation 16 of the SEBI Listing Regulations, the term "Material Subsidiary" shall mean a subsidiary whose income or net worth exceeds **twenty per cent (20%)** of the consolidated income or net worth, respectively, of the listed entity and its subsidiaries in the immediately preceding accounting year.

5. Restrictions on disposal of shares of a Material Subsidiary

The Company shall not dispose of shares in its Material Subsidiary resulting in the reduction of its shareholding (either on its own or together with other subsidiaries) to **less than fifty per cent (50%)** or cease the exercise of control over the **subsidiary without passing a special resolution in its general meeting**, except in cases where such divestment is made under a scheme of arrangement duly approved by a Court / Tribunal, or under a resolution plan duly approved under section 31 of the Insolvency Code and such an event is disclosed to the recognised stock exchanges within one day of the resolution plan being approved.

6. Restriction on transfer of assets of a Material Subsidiary

Selling, disposing, and leasing of assets amounting to **more than twenty per cent (20%)** of the assets of a Material Subsidiary on an aggregate basis during a financial year **shall require prior approval of shareholders** of the Company by way of **special resolution** unless the sale/disposal/lease is made under a scheme of arrangement, duly approved by a Court / Tribunal, or under a resolution plan duly approved under section 31 of the Insolvency Code and such an event is disclosed to the recognised stock exchanges within one day of the resolution plan being approved.

7. Secretarial Audit by Material Unlisted Subsidiaries incorporated in India

The Company and its material unlisted subsidiaries incorporated in India shall undertake secretarial audit and shall annex with its Annual Report, a secretarial audit report, given by a company secretary in practice, in such form as may be specified with effect from the year ended March 31, 2019.

8. Governance Requirements for Material Subsidiaries:

The Audit Committee of the Company shall review the financial statements, in particular, the investments made by the unlisted Subsidiary Company.

c) The minutes of the Board Meetings of the Unlisted Subsidiary Companies shall be placed before the Board of the Company.

d) The management of the unlisted subsidiary, shall periodically bring to the attention of the Board of Directors of the Company, a statement of all Significant Transactions and Arrangements entered into by the unlisted Subsidiary.

(Explanation:- For the purpose of this regulation, the term “significant transaction or arrangement” shall mean any individual transaction or arrangement that exceeds or is likely to exceed ten percent of the total revenues or total expenses or total assets or total liabilities, as the case may be, of the unlisted subsidiary for the immediately preceding accounting year.)

Where the Company has a listed Subsidiary, which is itself a holding Company, the provisions of this Policy shall also apply to the listed Subsidiary in so far as its subsidiaries are concerned.

9. Disclosures

As required under the SEBI Listing Regulations, this Policy shall be disclosed on the Company’s website, <https://integrumentenergy.in> and a web link thereto shall be provided in the Annual Report.

10. Review of the Policy

This Policy shall be reviewed as deemed necessary or in accordance with any regulatory amendments affecting it.

11. Scope and Limitation

In the event of any conflict between the provisions of this Policy and the SEBI Listing Regulations or the Act or any other relevant legislation/ regulation applicable to the Company, the provisions of the SEBI Listing Regulations or the Act or such other relevant law/regulation shall prevail over this Policy.

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